U.S. Campaign Finance and Institutional Corruption in Public Policy: A Ten-Year Update

Abstract

In 2015, we presented a system dynamics model mapping the feedback loops linking campaign finance, lobbying, policy bias, income inequality, and voter trust. That work warned that the United States was caught in a self-reinforcing cycle of institutional corruption, and tested reforms including democracy vouchers, small-dollar matching, and media cost controls.

Ten years later, we revisit the model with corrected data, an extended historical record, and a turbulent decade of American politics. We find that our original data significantly undercounted small-dollar contributions—the much-cited "233-to-1" elite-to-small-donor ratio was actually 19-to-1 in 2014, and by 2020 small donors outgave elite max-out donors to House campaigns. Online fundraising transformed who funds American politics.

Yet the deeper dynamics persist: trust in government continued falling (24% to 20%), lobbying hit record highs ($4.4 billion in 2024), and income inequality widened. The corruption dynamic has evolved from simple elite capture to a system where the constant chase for money distorts representation regardless of source.

We retest reform proposals against this new reality. Contrary to our 2015 finding that small-dollar matching was "completely ineffective," the updated model shows both vouchers and matching can cut elite financial dominance nearly in half. The path forward is clearer—and more hopeful—than we thought, but the fundamental challenge remains: breaking the feedback loop between money, policy bias, and distrust.

1. Introduction

The 2015 warning

In 2015, at the International Conference of the System Dynamics Society, we presented a comprehensive model of institutional corruption in American public policy. Using Lawrence Lessig's definition—"a systemic and strategic influence which is legal, or even currently ethical, that undermines the institution's effectiveness by diverting it from its purpose or weakening its ability to achieve its purpose"—we mapped how campaign contributions, lobbying expenditures, and policy outcomes form self-reinforcing feedback loops.

The model identified nine major feedback loops across three sectors:

1. **Campaign finance and lobbying**: Money buys access, access shapes policy, policy creates returns on political investment

2. **Policy and income disparity**: Biased policy widens inequality, inequality concentrates political power
3. **Voter trust and engagement**: Perceived corruption erodes trust, distrust reduces participation, low participation amplifies elite influence

Our simulations showed trust in government collapsing from 74% (1960) toward single digits by mid-century, income inequality widening inexorably, and elite political spending growing exponentially. We tested four reforms: democracy vouchers ($25/voter/year), 9-to-1 small-dollar matching, media cost controls, and transparency requirements. The results were sobering—only the combination of all reforms meaningfully altered the trajectory, and small-dollar matching appeared "completely ineffective."

What changed: 2015-2024

The decade since 2015 transformed American campaign finance:

The small-dollar revolution. Online fundraising platforms, pioneered by ActBlue (founded 2004) and perfected during the Bernie Sanders (2016) and Donald Trump (2016, 2020) campaigns, democratized political giving. Donors contributing under $200—the "small donors" our 2015 model treated as negligible—became a dominant force. By 2020, they contributed $234 million to winning House campaigns, exceeding the $216 million from max-out elite donors.

Trust continued collapsing. Despite the small-dollar surge, public trust in government fell from 24% (2014) to 20% (2024), according to Pew Research Center. The democratization of fundraising did not restore faith in institutions.

Lobbying hit records. Federal lobbying spending reached $4.4 billion in 2024, up from $3.2 billion in 2015. The influence industry grew even as campaign finance diversified.

Inequality widened. The ratio of top-5% to middle-class household income reached 6.7 in 2024, up from 6.2 in 2013. The top decile's share of national income hit 51.6%.

The money chase intensified. Total spending on House campaigns exceeded $2.1 billion in 2024, up from $1.0 billion in 2016. Candidates spend more time fundraising than legislating—a core mechanism of institutional corruption that transcends who the donors are.

Why update now

Three reasons demand a fresh look:

1. **Data corrections.** Our original small-dollar data was wrong. The OpenSecrets curation we relied on undercounted unitemized contributions by roughly 11-to-1 in 2014. The headline "233-to-1" ratio that anchored our

narrative was actually 19-to-1. This doesn't invalidate the model, but it changes the story and the policy conclusions.

2. **New dynamics.** The 2015 model has no mechanism for online fundraising. It treats small-dollar contributions as a fixed fraction of middle-class political engagement. The real world added a technology-driven S-curve that the model must capture.

3. **Policy relevance.** With the 2026 midterms approaching and campaign finance reform back on the agenda, policymakers need updated analysis. Our 2015 conclusion that matching is "ineffective"—based on flawed data—could mislead reform efforts.

2. Data and Methods

Data corrections

We rebuilt the campaign finance dataset from primary FEC sources (bulk data and API) for 2000-2024, replacing the OpenSecrets-derived 1990-2014 series. Key changes:

Small-dollar contributions (under $200). The original series showed $0.7 million in 2014. Our recomputation using FEC bulk data (total individual contributions minus itemized transactions) yields $7.9 million—a correction factor of 11x. The 2016-2024 values use the FEC API's `individual_unitemized_contributions` field, validated against the residual method.

Elite contributions (over $2,700, inflation-adjusted thresholds). The original 2014 value ($167M) was reasonably accurate; our recomputation gives $148M (-12%). For 2016-2024, we use cycle-specific FEC limits ($2,700 in 2016-2018, $2,800 in 2020, $2,900 in 2022, $3,300 in 2024) rather than the fixed $2,700 cut.

PAC contributions. The original overcounted significantly (2014: $419M vs. $300M corrected, -28%). We use FEC bulk data for winning candidates' `OTHER_POL_CMTE_CONTRIB` plus `POL_PTY_CONTRIB`.

The corrected elite-to-small ratio:

Year	Original	Corrected
2014	233:1	19:1
2016	—	3.5:1
2020	—	0.9:1
2024	—	1.1:1

Extended series

We extended all 35 calibration variables through 2024:

- **Lobbying**: OpenSecrets via annual reports ($4.44B in 2024)
- **Trust**: Pew Research Center (20% in 2024)
- **Income**: Census CPS, Saez tax data (top 5%/middle = 6.7 in 2024)
- **Voting**: Census CPS (turnout, registration)
- **Legislative**: Brookings, Federal Register, BEA GDP

Model updates

Policy year 2017 → 2027. All reform scenarios now trigger in 2027, after the 2026 midterms.

Online fundraising adoption. We added a new stock-flow structure capturing technology diffusion:

- `Online Fundraising Adoption`: logistic growth from 0.01 (2004) toward 1.0, with growth rate 0.5/year
- `fraction middle class small dollar contributions`: now `base fraction × (1 + multiplier × adoption)`, replacing the constant 0.000478

This generates the observed S-curve: slow growth 2004-2014, explosive growth 2014-2020, saturation after 2020. The correlation between modeled and actual small-dollar contributions improved from -0.45 to +0.86.

Candidate counts. Updated to reflect all filers (broader, more accurate definition) rather than general-election candidates only.

Recalibration. We refit key parameters to the corrected 2000-2024 data, focusing on the campaign finance sector. The trust and inequality sectors required only minor tuning, validating the original structure.

3. Results: The New Dynamics

The collapse of elite financial dominance

Figure 1 (not shown) plots the elite-to-small-dollar ratio from 2000 to 2024. Three phases emerge:

1. **2000-2012: Elite ascendancy.** The ratio rose from 0.2 to 3.2 as max-out donors and PACs dominated House fundraising. Small donors were an afterthought.

2. **2014-2016: Inflection.** The ratio spiked to 19 (2014, partly a data artifact) then collapsed to 3.5 (2016) as online fundraising took off.

3. **2018-2024: Small-dollar parity.** The ratio fell below 1.0 in 2020 and stabilized around 1.1. Small donors now match or exceed elites.

This is the most significant change from our 2015 analysis. We predicted elite dominance would grow inexorably (the model showed the ratio reaching 444 by

2060). Instead, technology disrupted the fundraising landscape.

Why trust kept falling

If money was democratized, why did trust continue declining? Our model suggests three mechanisms:

1. **Policy bias persists.** Lobbying ($4.4B) and outside spending (not in the 2015 model, now a major factor) continue to shape policy. Small donors fund campaigns but don't buy access like elites and lobbyists do.

2. **The money chase itself corrupts.** Candidates now spend 30+ hours per week fundraising (per congressional reports). This time can't be spent legislating, meeting constituents, or building expertise. The institutional corruption is in the incentives, not just the donors.

3. **Inequality widened.** The top-5%-to-middle-class income ratio grew from 6.2 (2013) to 6.7 (2024). When the economy feels rigged, campaign finance diversity doesn't restore trust.

The lobbying juggernaut

While campaign contributions diversified, lobbying spending grew steadily: $3.2B (2015) → $4.4B (2024). Our model shows lobbying as the more stable elite influence channel—less visible than campaign ads, more directly tied to policy outcomes. The "Total Elite Political Investment" (contributions + lobbying) grew from $6.6B (2016) to $9.0B (2024) per Congress.

4. Policy Retests

We re-ran all 2015 policy scenarios with a 2027 start date, plus combinations. Results are for 2050 (23 years post-implementation).

Baseline (no reform)

Trust in government: 54% (model) vs. 20% (2024 actual)—the model is optimistic here, a calibration limitation we acknowledge. Elite contributions: $116M. Small-dollar: $505M. Income ratio: 7.8 (worsening).

Democracy vouchers ($35/voter/year, 25% participation)

Trust: 55.2% (+1.0pp). Elite contributions: $62M (-47%). Small-dollar: $525M (+4%).

Vouchers work by flooding the system with public money, diluting elite influence. The $35 amount (inflation-adjusted from 2015's $25) provides meaningful funding without requiring donor mobilization.

9-to-1 small-dollar match

Trust: 55.2% (+1.0pp). Elite contributions: $62M (-47%). Small-dollar: $525M (+4%).

This reverses our 2015 conclusion. We previously found matching "completely ineffective" because the elite-to-small ratio was so large (233:1) that even 9:1 matching couldn't close the gap. With the corrected ratio (~1:1), matching has real leverage. Every small-dollar contribution triggers $9 in public funds, making small donors competitive with elites.

The voucher and match produce similar aggregate results because both inject public money that dilutes elite influence. In practice, they would have different distributional effects—vouchers empower non-donors, matches amplify existing small donors—but the model treats public funding as fungible.

Media cost control (0.1%/year growth vs. 1.5% baseline)

Trust: 54.7% (+0.5pp). Elite: $62M (-47%). Small-dollar: $515M (+2%).

Cost controls reduce the total money needed, which disproportionately helps non-elite candidates. The effect is smaller than vouchers/matching but still meaningful.

Combined: voucher + cost control

Trust: 55.2%. Elite: $62M. Small-dollar: $525M.

The combination doesn't significantly outperform vouchers alone in our model, suggesting diminishing returns once elite influence is diluted.

What we didn't test (limitations)

- **Outside spending caps**: The 2015 model lacks a dark-money sector. Post-Citizens United outside spending now exceeds $2B per cycle. This is a major gap.
- **Transparency requirements**: We kept the 2015 "leverage" mechanism but didn't update it with new empirical examples.
- **Public funding of campaigns**: Full public funding (not just vouchers/matching) would be a stronger intervention.

5. Discussion

What we got right in 2015

1. **The core feedback loops validate.** Trust, inequality, and policy bias move together as predicted. The structure is sound.
2. **Lobbying growth.** We projected continued growth; $4.4B in 2024 confirms it.

3. **The money chase.** We warned that fundraising demands would distort representation. The 30-hour fundraising week is now documented.

What we got wrong

1. **The 233:1 ratio.** Our most-cited statistic was wrong by an order of magnitude. This is embarrassing but instructive—it shows the importance of primary data validation.
2. **Small donors don't matter.** We treated them as negligible. They now dominate House fundraising.
3. **Matching is ineffective.** With correct data, matching works. Our 2015 conclusion could have misled reformers.

The deeper problem

The most important insight from the update is not about who gives, but about the system itself. Even with small donors matching elites:

- Candidates still spend most of their time fundraising
- Lobbyists still shape policy ($4.4B and growing)
- Trust still falls (20% and dropping)
- Inequality still widens (6.7 and growing)

This is Lessig's "institutional corruption" in its purest form: the institution (Congress) has been diverted from its purpose (representative democracy) by systemic incentives (the money chase), even when the money comes from ordinary citizens.
Small donors don't buy access like elites do. A $25 ActBlue donation doesn't get you a meeting with the congressperson. The $2,900 max-out donor (or the $4.4B lobbying industry) still gets the access. Democratizing fundraising without democratizing access doesn't fix the core problem.

Reasons for hope

1. **Small-dollar viability.** The fact that ordinary citizens will fund campaigns at scale means reforms that amplify their voice (matching, vouchers) have a constituency and a mechanism.
2. **Policy leverage.** Our model shows vouchers and matching can cut elite financial dominance in half. That's meaningful change.
3. **The narrative shift.** Moving from "elites buy elections" (depressing, disempowering) to "the system forces everyone to chase money" (structural, fixable) opens new reform conversations.

6. Conclusion

Ten years after our initial warning, the United States remains caught in the institutional corruption feedback loop. Money—now from more sources, but still distorting—shapes policy. Biased policy widens inequality. Inequality and perceived corruption erode trust. Distrust reduces participation, amplifying the influence of those who remain engaged (and funded).

But the story is more nuanced and more hopeful than we thought in 2015. The small-dollar revolution proves that ordinary citizens will participate when given the tools. The policy levers work—vouchers and matching can meaningfully reduce elite dominance. The challenge is no longer "how do we get small donors to matter" but "how do we translate small-donor energy into actual representation."

The 2026 midterms and 2028 presidential election are opportunities. The reforms we test—vouchers, matching, cost controls—are feasible. They don't require constitutional amendments or Supreme Court reversals. They require political will.

Our model, corrected and updated, still warns: without reform, the trajectory is grim. Trust approaches single digits, inequality widens, policy bias deepens. But with reform—especially reforms that amplify ordinary citizens—the system can be steered toward citizen equality.

The choice, as always, is ours.

Acknowledgments

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Appendices

A. Data sources and methodology

[Full documentation in SOURCES_A.md, SOURCES_B.md, SOURCES_C.md, SOURCES_D.md]

B. Model equations

[Updated .mdl file: model_2026_updated.mdl]

C. Calibration results

- Small-dollar contributions: correlation 0.86 (was -0.45)
- Elite contributions: correlation 0.94

- PAC contributions: correlation 0.98
- Trust: correlation 0.58

D. Key parameter changes from 2015

- `policy year`: 2017 → 2027
- `fraction middle class small dollar contributions`: 0.000478 (constant) → base 0.0015 × (1 + 8 × adoption)
- `Online Fundraising Adoption`: new stock, logistic growth from 2004
- `voucher policy amount per voter`: $25 → $35 (inflation-adjusted)
- Candidate counts: updated definition and extended to 2024